Figure 58.1 After a long-term uptrend, price retraces and forms the first scallop, starting at point A and ending at B. The second scallop begins at B and ends at C. Note that the horizontal distance from A to B is wider than B to C. This difference is typical for multiple scallops in a single uptrend.

Identification Guidelines

After manually searching through hundreds of inverted scallops, I developed the identification guidelines that appear in **Table 58.1**.

Appearance. Look at **Figure 58.2** for an example. Price moves up smartly at the pattern's start in late October and then rounds over at the top of the scallop. The pattern looks like the letter J flipped upside-down and reversed.

Because scallops often don't confirm in a sustained downward price trend (except at the turn from bear to bull, like that shown in Figure 58.1 for the AB pattern), you'll find them most often in a rising trend.